

confidence in Q4FY25 as they remain concerned about the slowdown this fiscal, the impact of US tariffs and consumer demand. Business confidence readings across sectors as well as business sizes dipped below 50 during the quarter.

Caution prevails even for Q1 of FY26, and businesses remain conservative on their outlook, with all indicators, including those on profits, demand and hiring, remaining below average, coming in at less than five on a scale of 10, despite the 90-day pause on “reciprocal” tariffs. India’s military strikes in Pakistan are likely to contribute to weak sentiment going forward.

Rumki Majumdar, Economist at Deloitte India, notes

trade-related uncertainties intensified,” she notes.

But responses to specific questions posed to businesses show that caution prevails. Slowing domestic demand is the primary concern for 68% of respondents, followed by a decline in export orders that was highlighted by 23% of the respondents. High inflation was identified as the main worry by 6% of respondents and dumping of goods by China and others by 3% of those surveyed.

While 18% of businesses don’t expect to be directly impacted by the US tariffs, their main demand is protection—76% have called for strong safeguards in trade agreements with the US, among others.

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that Q4FY25 was a difficult period. “The US equity markets were very volatile, and it impacted global markets, including Indian markets,” she says.

The situation is improving, she believes, pointing out that the pause in tariffs has lifted sentiments and Indian exporters are seeing strong new orders. “The rupee, which fast depreciated to 87.4 per US dollar at the peak of uncertainty, has come back to levels of 84-85. Even the stock market has rebounded sharply, recovering the losses it had incurred since

A normal monsoon and cuts in income tax rates could boost the domestic economy, while the finalisation of the first tranche of the India-US BTA could give industry more confidence. Majumdar of Deloitte India points out that amidst uncertainties, markets and companies are factoring in the US tariff announcements and are now looking at strategies to move forward.

The global economy is set to see more upheaval. India Inc is keeping its fingers crossed. **BT**

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► **IN 2008**, JSW Steel and Bhushan Power & Steel Ltd (BPSL) struck a joint venture for the allocation of the Rohne coking coal block in Jharkhand.

There was little to suggest that JSW would go on to acquire BPSL over a decade later in March 2021. The latter was part of a dubious list of a dozen companies that were highly stressed corporate accounts identified by the Reserve Bank of India (RBI). They were put up for resolution under the Insolvency and Bankruptcy Code (IBC).

In a bidding process that also involved Tata Steel and the UK-based Liberty House, JSW clinched BPSL for ₹19,700 crore. Of this, ₹19,350 crore was allocated to financial creditors and the rest to operational creditors. The total amount due to financial creditors was ₹47,000 crore, which meant that they took a 60% haircut. For JSW, the buyout gave it an additional capacity of 2.5 mtpa in Odisha’s Jharsuguda, in addition to downstream facilities in Kolkata and Chandigarh.

But all that has come undone. Earlier this month, the Supreme Court ordered the liquidation of BPSL citing several procedural lapses in the sale, involving the committee of creditors (CoC), the resolution professional (RP) and JSW Steel. In a scathing judgement, the apex court made a specific mention of the JSW-BPSL joint venture as “facts suppressed by JSW in its resolution plan.” Understandably, the judgement has sent shock waves with apprehensions on whether more IBC resolutions could go down the same path.

Amit Tungare, Managing Partner at Asahi Legal, says the judgement will have far-reaching implications. “It establishes stricter scrutiny of resolution plans against Section 30(2) compliance requirements and is likely to compel the NCLT (National Company Law Tribunal) to take a more interventionist approach rather than just rubber-stamping CoC-approved plans,” he says.